

NVIDIA Corporation (NVDA)

EQUITY RESEARCH

August 28, 2024

Price: \$125.61

Price Target: \$175.00

Rating: Overweight

Key Statistics:

Symbol	NSQ: NVDA
52-Week Range	39.23 - 140.76
Market Cap	3,090,006.0
ADV (3 mo)	359,857,856
Shares Out (M)	24,600.0

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REV (\$M)

FYE Jan	2024A	2025E	2026E
1Q	\$7,192.0	\$26,044.0A	\$38,000.0
Prev	-	-	\$35,445.0
2Q	\$13,507.0	\$30,040.0A	\$41,500.0
Prev	-	\$28,000.0E	\$37,320.0
3Q	\$18,120.0	\$32,500.0E	\$46,000.0
Prev	-	\$31,500.0E	\$38,780.0
4Q	\$22,103.0	\$35,000.0E	\$52,000.0
Prev	-	\$33,880.0E	\$40,395.0
Year	\$60,922.0	\$123,584.0E	\$177,500.0
Prev	-	\$119,424.0E	\$151,940.0
P/S	50.7x	25.0x	17.4x

EPS

FYE Jan	2024A	2025E	2026E
1Q	\$0.11	\$0.61A	\$0.84
Prev	-	-	\$0.81
2Q	\$0.27	\$0.68A	\$0.92
Prev	-	\$0.62E	\$0.86
3Q	\$0.40	\$0.73E	\$1.05
Prev	-	\$0.70E	\$0.89
4Q	\$0.52	\$0.76E	\$1.20
Prev	-	-	\$0.93
Year	\$1.30	\$2.78E	\$4.00
Prev	-	\$2.70E	\$3.50

Pro Forma EPS

Company Update

Beat, Raise, No 4Q Air Pocket, CY25 Growth “Quite Significant” ... Buy the Weakness

Despite the after-hours sell-off, this was a solid report from NVDA amidst Blackwell delay concerns. The company posted a \$2B beat vs guidance (in line with prior 5 Qs, though beats vs consensus shrinking as the Street is modeling more above guidance each Q) and guided for +\$2.5B of Q/Q growth into 3Q (this compares to the prior 3 sequential guides of +\$1.9B, +\$1.9B, and \$2.0B Q/Q). Further, as customers “accelerate” Hopper purchases, Hopper shipments were guided to increase in the 2H – which, when added to expectations for “several billion dollars” in Blackwell revenues in 4Q, implies revenues tracking to \$35B+, thus the worry about Blackwell delays and revenue impact appears to be a nothing burger ahead of one of the biggest and baddest product cycles in NVDA’s history (we believe). That said, while guidance for GMs for CY24 remains unchanged at mid-70%, this does imply 4Q coming in below Street (we think ~72-73% vs cons 75.6%) as mgmt. works through the Blackwell launch impact (including more system solutions) along with increase to TSMC pricing starting Jan 1. But the good news? This will be more than made up for with higher ASPs and better topline growth supporting mid-60% OMs consistently (Jensen noted that next year is going to be a great year with Data Center growing “quite significantly”). Bigger picture, there has been a ton of focus on the ROIC of these investments, which makes sense given the billions of dollars required to invest. But AI is an existential threat to the hyperscalers/consumer internet players, and the inherent value of pushing the envelope on next-generation LLMs is too significant to slow down, nevermind the first to truly harness AGI. So we do not see any change to the AI story underpinning NVDA, and think tomorrow’s potential pullback is simply another buying opportunity. We have raised our CY25 EPS estimate to \$4.00 but continue to see a clear path to \$4.50 (if not \$5.00) when all is said and done (as we outlined in our preview). At after-hours \$117, this translates into 29x/26x/23x – still too cheap to ignore, in our view. We reiterate our Overweight rating and \$175 price target. NVIDIA remains a TOP PICK.

Please see inside for details on results/guide and our key takeaways...

July Q Beats Guide/Consensus, though Largely In Line with Our/Buyside Expectations

- **July Q revenues** came in at \$30.0B (+15% Q/Q, +122% Y/Y) in line with our previewed \$30.0B and ahead of consensus of \$28.7B and the midpoint of the company guide of \$28.0B +/- 2%
 - **Data Center** revs came in at \$26.3B (+16% Q/Q, +154% Y/Y), vs our previewed/cons of \$26.4B/\$25.1B and mgmt.'s guide of up Q/Q (note CSPs represented ~45% of revs, with Consumer Internet and Enterprise companies representing >50% and driving the sequential growth)
 - **Compute** revs were \$22.6B (+17% Q/Q, +172% Y/Y) as customers continued to accelerate Hopper purchases while gearing up for Blackwell adoption
 - **Networking** revs were \$3.7B (+13% Q/Q, +83% Y/Y) driven by strength across InfiniBand and Ethernet for AI including Spectrum-X platform (note Ethernet revs doubled Q/Q)
 - **Gaming** revs came in at \$2.9B (+9% Q/Q, +16% Y/Y), vs our previewed/cons of \$2.7B/\$2.7B and mgmt.'s guide of up Q/Q on solid demand for gaming GPUs as part of back-to-school season
 - **Pro Vis** revs came in at \$454M (+6% Q/Q, +20% Y/Y), vs our previewed/cons of \$475M/\$450M and mgmt.'s guide of up Q/Q on the continued ramp of Ada-based RTX GPU workstations
 - **Automotive** revs came in at \$346M (+5% Q/Q, +37% Y/Y), vs our previewed/cons of \$350M/\$345M and mgmt.'s guide of up Q/Q driven by AI cockpit and self-driving platforms
- **Gross Margins** were 75.7%, vs our previewed/consensus 76.0%/75.6% and mgmt.'s guide of ~75.5% +/- 50bps, and down 320bps Q/Q on inventory provisions for low-yielding Blackwell materials and a higher mix of new Data Center products
- **Opex** was \$2.79B vs our previewed/consensus of \$2.80B/\$2.81B and mgmt.'s guide of \$2.8B with growth led by increased employee compensation and benefits
- **Interest/Other Income** was \$380M, **Tax Rate** was 16.6% (vs guide of 17% +/- 1%), **Share count** was 24.8B
- Resulting **Non-GAAP EPS** came in at \$0.68, in line with our previewed \$0.68, but above consensus \$0.64 and the implied guidance mid-point of ~\$0.62

Exhibit 1: NVDA July Q Results

	JULY QUARTER RESULTS						Comments
	Jul Q Results	CF	Consensus	Mgmt Guide	Apr Q 2024	Jul Q 2023	
Revenues	\$30,040M	\$28,000M	\$28,654M	\$28.0B +/- 2%	\$26,044M	\$13,507M	
Q/Q	15%	8%	10%	7.5%	18%	88%	
GMs	75.7%	75.5%	75.6%	75.5% +/- 50bps	78.9%	71.2%	
Opex	\$2,792M	\$2,800M	\$2,811M	\$2.8B	\$2,501M	\$1,838M	Opex to grow in the low 40% range in CY24
OM	66.4%	65.5%	65.9%		69.3%	57.6%	
Tax	16.6%	17.0%	17.0%	17% +/- 1%	17.0%	14.6%	
PF EPS (incl ESO)	\$0.68	\$0.62	\$0.64	Implied ~\$0.62	\$0.61	\$0.27	Includes \$300M in OI&E
Share Count	24848M	24840M	23232M		24890M	24990M	
Revenues:							
Gaming	\$2,880M	\$2,700M	\$2,705M		\$2,647M	\$2,486M	
Professional Visualization	\$454M	\$475M	\$450M		\$427M	\$379M	
Auto	\$346M	\$350M	\$345M		\$329M	\$253M	
OEM & IP	\$88M	\$80M	\$78M		\$78M	\$66M	
Total Graphics	\$3,594M	\$3,605M			\$3,369M	\$3,105M	
Core Data Center	\$22,604M	\$20,395M			\$19,323M	\$8,323M	
Mellanox	\$3,668M	\$4,000M			\$3,240M	\$2,000M	
Total Data Center	\$26,272M	\$24,395M	\$25,136M		\$22,563M	\$10,323M	
Total Compute & Networking	\$26,446M	\$24,395M			\$22,675M	\$10,402M	

Source: Cantor Fitzgerald, FactSet

October Q Beats as Customers Accelerating Hopper Purchases

- **October Q revenues** were guided to \$32.5B +/- 2% (+8% Q/Q, +79% Y/Y), vs our previewed/consensus of \$32.0B/\$31.6B with guidance by subsegment outside of continued Hopper growth in 2H. That said, we now model:
 - **Data Center** revs of \$28.7B vs our previewed/cons of \$28.3B/\$28.0B
 - **Gaming** revs of \$2.9B vs our previewed/cons of \$2.8B/\$3.0B
 - **Pro Vis** revs of \$475M vs our previewed/cons of \$500M/\$476M
 - **Automotive** revs of \$370M vs our previewed/cons of \$370M/\$366M
- **Gross Margins** were guided to 75.0%, vs our previewed /consensus 75.5%/75.4%, and down 70bps Q/Q based on planned ramps of new products
- **Opex** was guided to \$3.0B vs our previewed/consensus of \$2.85B/\$2.93B as NVDA works on the development of next-gen products
- **Interest/Other Income** was guided to \$350M with a **Tax Rate** of 17% +/- 1%
- **Non-GAAP EPS** was implied to ~\$0.73 vs our previewed/consensus ~\$0.72/\$0.71

Exhibit 2: NVDA October Q Guidance

	OCTOBER QUARTER GUIDE					Comments
	CF	Consensus	Mgmt Guide	Jul Q 2024	Oct Q 2023	
Revenues	\$31,500M	\$31,560M	\$32.5B +/- 2%	\$30,040M	\$18,120M	
Q/Q	13%	5%	8.2%	15%	34%	
GMs	74.8%	75.4%	75.0% +/- 50bps	75.7%	75.0%	Mid-70% full year
Opex	\$2,850M	\$2,926M	\$3.0B	\$2,792M	\$2,026M	Full year Opex +mid to upper-40% range
OM	65.8%	66.1%		66.4%	63.8%	
Other Income/(Expense)			\$350M			
Tax	17.0%	17.0%	17% +/- 1%	16.6%	14.6%	
PF EPS (incl ESO)	\$0.70	\$0.71	Implied ~\$0.73	\$0.68	\$0.40	
Share Count	24790M	22736M		24848M	24940M	
Revenues:						
Gaming	\$2,800M	\$2,961M		\$2,880M	\$2,856M	
Professional Visualization	\$500M	\$476M		\$454M	\$416M	
Auto	\$370M	\$366M		\$346M	\$261M	
OEM & IP	\$80M	\$79M		\$88M	\$73M	
Total Graphics	\$3,750M			\$3,594M	\$3,475M	
Core Data Center	\$23,000M			\$22,604M	\$11,914M	
Mellanox	\$4,750M			\$3,668M	\$2,600M	
Total Data Center	\$27,750M	\$28,010M		\$26,272M	\$14,514M	
Total Compute & Networking	\$27,750M			\$26,446M	\$14,645M	

Source: Cantor Fitzgerald, FactSet

Key Takeaways

- **Demand is unwavering in Data Center** as NVDA posted yet another beat and raise (as expected). Strength in the Q was led by Enterprise and Consumer Internet companies (accounting for >50% of DC revenues and driving the sequential growth), with Cloud Service Providers accounting for ~45% of revenues (similar to last Q). Mgmt. also noted that Inference accounted for >40% of TTM Data Center revenues (vs last Q ~40%) - highlighting the move to production amongst LLM models and speaking to NVDA's positioning here as complexity increases (and NVDA continues its work to enhance its inference performance – i.e., TensorRT-LLM, H200, etc).

- **Customers are accelerating their Hopper purchases** for both training and inferencing applications as supply/availability continues to improve and customers need the compute capacity today (virtually no GPU capacity available at CSPs today amid ongoing race to the next plateau) – mgmt. guided for Hopper shipments to increase H/H in the back half (we think 3Q strong Q/Q and 4Q flat to up as constrained on memory supply Amid Blackwell ramp), which should assuage investor concerns around a Blackwell delay air pocket.
- **Blackwell** is widely sampling today with production ramp in 4Q and continuing into CY25 – mgmt. noted that it has changed the GPU mask to improve yield (now complete, with no functional changes necessary), and expects to ship “several billion dollars in Blackwell revenue” in 4Q (on top of expected Hopper growth).
- The **Enterprise AI** wave has officially started (driving 2Q sequential growth) as NVDA is working with most Fortune 100 companies on AI initiatives across a wide range of applications. During the Q, the company announced a new NVDA AI foundry service to “supercharge” the Enterprise AI rollout with Meta’s Llama 3.1 collection of models - mgmt. described this as a “watershed moment for Enterprise AI, allowing companies to leverage open-source frontier-level models for customized AI applications.
- Management raised its **Sovereign AI opportunity** outlook, now expected low double-digit billions of revenues this year (vs prior high single-digit billions of dollars) with investments being made across a number of regions as better appreciating data as a national resource.
- Mgmt. forecast its **Software, SaaS, and Support** revs to approach a \$2B annual run rate exiting the year with NVDA AI Enterprise notably contributing to growth – we note 2 Qs ago, mgmt. noted these same businesses hit a \$1B run rate.
- **Networking** revs bounced back this Q, with strength in both InfiniBand and Ethernet and mgmt. noting that Ethernet revs doubled Q/Q with hundreds of customer adoptions (well on track for a multi-billion product line). Bigger picture, NVDA is focused on moving all 3 of its networking solutions (InfiniBand, NVLink, Ethernet) forward at a very fast clip to drive capabilities up and TCOs down and enable the scale out of NVDA architecture in this “new Industrial revolution.”
- **Gross Margins** came in roughly in line with the guide with a reiteration of the full-year forecast of mid-70%, impacted by the rollout of the company’s new Blackwell product offerings (lower-yielding at first) and greater system solution sales – leading to an implied 4Q GM guide of 72-73%, below consensus of 75.6% coming in. Into CY25E we look for GMs to increase from 4Q levels as yield issues are behind us, but expect greater system sales to weigh on GMs (magnitude dependent on mix). That said, greater contribution from these systems is a strong tailwind for revenue growth (much higher ASPs) with OMs likely to be consistent in the mid-60% range.
- Full-year **Opex** guidance was taken up once again to grow in the mid-to-high-40% range in CY24 (vs low-40% growth messaging last Q, and mid-30% messaging the Q before that) as NVDA works on developing next-gen products (not a bad thing, in our view) – we expect this level of opex growth to continue into 1HCY25
- We note that the company’s **purchase obligations** increased to \$27.8B in the Q (vs \$18.8B last Q) on continued increases for Hopper and Blackwell capacity and components – we believe clearly signaling expectations for a robust Blackwell ramp. We also note that the company’s non-inventory purchase obligations increased to \$12.0B (vs \$10.6B last Q), largely led by a \$1B increase in multi-year cloud service agreements in support of R&D efforts and DGX offering.
- In 2Q, NVDA had **4 customers accounting for >10% of sales** (14%, 11%, 11%, 10%) vs only 2 customers last Q (13%, 11%) – all customers attributable to Compute and Networking segment.

Exhibit 4: NVDA Income Statement

NVIDIA	CY2023 (FY24)				CY2024 (FY25)				CY2025 (FY26)				CY	CY	CY
\$ in millions	Apr-23 1Q	Jul-23 2Q	Oct-23 3Q	Jan-24 4Q	Apr-24 1Q	Jul-24 2Q	Oct-24 3QE	Jan-25 4QE	Apr-25 1QE	Jul-25 2QE	Oct-25 3QE	Jan-26 4QE	2023	2024E	2025E
Revenue	\$7,192	\$13,507	\$18,120	\$22,103	\$26,044	\$30,040	\$32,500	\$35,000	\$38,000	\$41,500	\$46,000	\$52,000	\$60,922	\$123,584	\$177,500
QoQ	18.9%	87.8%	34.2%	22.0%	17.8%	15.3%	8.2%	7.7%	8.6%	9.2%	10.8%	13.0%			
YoY	-13.2%	101.5%	205.5%	265.3%	262.1%	122.4%	79.4%	58.3%	45.9%	38.1%	41.5%	48.6%	126%	103%	44%
Cost of Goods	2,390	3,893	4,537	5,144	5,484	7,311	8,125	9,625	10,260	11,205	11,960	13,520	15,964	30,545	46,945
Gross Profit	\$4,802	\$9,614	\$13,583	\$16,959	\$20,560	\$22,729	\$24,375	\$25,375	\$27,740	\$30,295	\$34,040	\$38,480	\$44,958	\$93,039	\$130,555
GM (Excluding SBC)	66.8%	71.2%	75.0%	76.7%	78.9%	75.7%	75.0%	72.5%	73.0%	73.0%	74.0%	74.0%	73.8%	75.3%	73.6%
R&D (excl SBC)	1,251	1,440	1,581	1,747	1,981	2,241	2,350	2,500	2,675	3,000	3,100	3,200	6,019	9,072	11,975
SG&A (excl SBC)	499	398	445	463	521	551	650	700	775	850	875	900	1,805	2,422	3,400
Total Operating Expenses	1,750	1,838	2,026	2,210	2,501	2,792	3,000	3,200	3,450	3,850	3,975	4,100	7,824	11,493	15,375
Operating Income	\$3,052	\$7,776	\$11,557	\$14,749	\$18,059	\$19,937	\$21,375	\$22,175	\$24,290	\$26,445	\$30,065	\$34,380	\$37,134	\$81,546	\$115,180
OM	42.4%	57.6%	63.8%	66.7%	69.3%	66.4%	65.8%	63.4%	63.9%	63.7%	65.4%	66.1%	61.0%	66.0%	64.9%
Net Interest Income (Expense)	84	120	175	232	302	380	350	350	400	425	450	475	611	1,382	1,750
Profit Before Taxes	3,136	7,896	11,732	14,981	18,361	20,317	21,725	22,525	24,690	26,870	30,515	34,855	37,745	82,928	116,930
Taxes	423	1,156	1,712	2,142	3,123	3,365	3,693	3,829	4,074	4,434	5,035	5,751	5,433	14,011	19,293
Net Income - Pro Forma	\$2,713	\$6,740	\$10,020	\$12,839	\$15,238	\$16,952	\$18,032	\$18,696	\$20,616	\$22,436	\$25,480	\$29,104	\$32,312	\$68,917	\$97,637
EPS - Pro Forma	\$0.11	\$0.27	\$0.40	\$0.52	\$0.61	\$0.68	\$0.73	\$0.76	\$0.84	\$0.92	\$1.05	\$1.20	\$1.30	\$2.78	\$4.00
GAAP EPS	\$0.08	\$0.25	\$0.37	\$0.49	\$0.60	\$0.67	\$0.69	\$0.71	\$0.79	\$0.87	\$1.00	\$1.15	\$1.19	\$2.67	\$3.81
Dividend per share	\$0.04	\$0.04	\$0.04	\$0.04	\$0.04	\$0.04	\$0.04	\$0.04	\$0.04	\$0.04	\$0.04	\$0.04	\$0.16	\$0.16	\$0.16
Fully Diluted Shares (M)	24,900	24,990	24,940	24,900	24,890	24,848	24,798	24,748	24,648	24,498	24,348	24,198	24,933	24,821	24,423
Percent of Sales															
R&D	17.4%	10.7%	8.7%	7.9%	7.6%	7.5%	7.2%	7.1%	7.0%	7.2%	6.7%	6.2%	10%	7%	7%
SG&A	6.9%	2.9%	2.5%	2.1%	2.0%	1.8%	2.0%	2.0%	2.0%	2.0%	1.9%	1.7%	3%	2%	2%
Tax Rate	13.5%	14.6%	14.6%	14.3%	17.0%	16.6%	17.0%	17.0%	16.5%	16.5%	16.5%	16.5%	14%	17%	17%
Net Income	38%	50%	55%	58%	59%	56%	55%	53%	54%	54%	55%	56%	53%	56%	55%
Sequential Change															
R&D	-9%	15%	10%	10%	13%	13%	5%	6%	7%	12%	3%	3%	15%	51%	32%
SG&A	23%	-20%	12%	4%	12%	6%	18%	8%	11%	10%	3%	3%	8%	34%	40%

Source: Cantor Fitzgerald

Exhibit 5: NVDA Balance Sheet

NVIDIA	CY2023 (FY24)				CY2024 (FY25)				CY2025 (FY26)				CY	CY	CY
\$ in millions	Apr-23 1Q	Jul-23 2Q	Oct-23 3Q	Jan-24 4Q	Apr-24 1Q	Jul-24 2Q	Oct-24 3QE	Jan-25 4QE	Apr-25 1QE	Jul-25 2QE	Oct-25 3QE	Jan-26 4QE	2023	2024E	2025E
Assets															
Cash and cash equivalents	15,320	16,023	18,281	25,984	31,438	34,800	39,529	45,616	54,098	54,098	53,443	53,542	25,984	45,616	53,542
Accounts Receivable	4,080	7,066	8,309	9,999	12,365	14,132	15,331	16,511	17,926	19,577	21,700	24,530	9,999	16,511	24,530
Inventory (net)	4,611	4,319	4,779	5,282	5,864	6,675	7,418	8,788	9,367	10,230	10,920	12,344	5,282	8,788	12,344
Prepaid Expenses & Other Assets	872	1,389	1,289	3,080	4,062	4,026	7,561	10,143	12,373	14,579	16,816	18,193	3,080	10,143	18,193
Total Current Assets	24,883	28,797	32,658	44,345	53,729	59,633	69,840	81,057	93,764	98,484	102,878	108,609	44,345	81,057	108,609
Property and Equipment	4,834	5,034	3,844	3,914	4,006	4,885	4,885	4,885	4,885	4,885	4,885	4,885	3,914	4,885	4,885
Intangibles	5,971	5,825	5,681	5,542	5,439	5,574	5,574	5,574	5,574	5,574	5,574	5,574	5,542	5,574	5,574
Other	8,772	9,899	11,965	11,927	13,898	15,135	15,135	15,135	15,135	15,135	15,135	15,135	11,927	15,135	15,135
Total Assets	44,460	49,555	54,148	65,728	77,072	85,227	95,434	106,651	119,358	124,078	128,472	134,203	65,728	106,651	134,203
Liabilities															
Accounts Payable	1,141	1,929	2,380	2,699	2,715	3,680	4,090	4,845	5,164	5,640	6,020	6,805	2,699	4,845	6,805
Accrued & Other Liabilities	4,682	6,948	5,472	6,682	11,258	10,289	10,289	10,289	10,289	10,289	10,289	10,289	6,682	10,289	10,289
Short-Term Debt	1,437	1,457	1,249	1,250	1,250	0	0	0	0	0	0	0	1,250	0	0
Total Current Liabilities	7,260	10,334	9,101	10,631	15,223	13,969	14,379	15,134	15,453	15,929	16,309	17,094	10,631	15,134	17,094
Long-Term Debt	10,643	9,497	8,457	8,459	8,460	8,461	8,461	8,461	8,461	8,461	8,461	8,461	8,459	8,461	8,461
Deferred Tax Liabilities	290	373	1,091	1,119	1,281	1,304	1,304	1,304	1,304	1,304	1,304	1,304	1,119	1,304	1,304
Other	1,747	1,850	2,234	2,541	2,966	3,336	3,336	3,336	3,336	3,336	3,336	3,336	2,541	3,336	3,336
Total Liabilities	19,940	22,054	20,883	22,750	27,930	27,070	27,480	28,235	28,554	29,030	29,410	30,195	22,750	28,235	30,195
Stockholders' Equity															
Total Shareholder's Equity	24,520	27,501	33,265	42,978	49,142	58,157	67,954	78,417	90,804	95,048	99,062	104,008	42,978	78,417	104,008
Total Liabilities & Equity	44,460	49,555	54,148	65,728	77,072	85,227	95,434	106,651	119,358	124,078	128,472	134,203	65,728	106,651	134,203

Source: Cantor Fitzgerald

Exhibit 6: NVDA Cash Flows

NVIDIA	CY2023 (FY24)				CY2024 (FY25)				CY2025 (FY26)				CY	CY	CY
\$ in millions	Apr-23 1Q	Jul-23 2Q	Oct-23 3Q	Jan-24 4Q	Apr-24 1Q	Jul-24 2Q	Oct-24 3QE	Jan-25 4QE	Apr-25 1QE	Jul-25 2QE	Oct-25 3QE	Jan-26 4QE	2023	2024E	2025E
CASH FLOW															
Cash Flow from Operations															
Net Income	\$2,043	\$6,189	\$9,243	\$12,285	\$14,881	\$16,599	\$18,032	\$18,696	\$20,616	\$22,436	\$25,480	\$29,104	\$29,760	\$68,208	\$73,943
Depreciation & Amortization	\$384	\$365	\$372	\$387	\$410	\$433	\$433	\$433	\$433	\$433	\$433	\$433	\$1,508	\$1,709	\$1,732
Deferred Tax Asset	(\$1,135)	(\$746)	(\$529)	(\$78)	(\$145)	(\$1,699)	(\$1,699)	(\$1,699)	(\$1,699)	(\$1,699)	(\$1,699)	(\$1,699)	(\$2,488)	(\$5,242)	(\$6,796)
Change in Working Capital (Net of Cash)	\$904	(\$174)	(\$2,735)	(\$1,719)	\$834	(\$1,661)	(\$5,068)	(\$4,376)	(\$3,905)	(\$4,244)	(\$4,669)	(\$4,847)	(\$3,724)	(\$10,271)	(\$15,010)
Change in Other Asset/Liabilities	\$715	\$714	\$982	\$624	(\$635)	\$817							\$3,035	\$182	\$817
Net Cash from Operations	\$2,911	\$6,348	\$7,333	\$11,499	\$15,345	\$14,489	\$11,698	\$13,054	\$15,445	\$16,926	\$19,545	\$22,991	\$28,091	\$54,586	\$54,686
Cash Flow From Investing															
Purchase of PPE	(\$248)	(\$289)	(\$278)	(\$253)	(\$369)	(\$977)	(\$977)	(\$977)	(\$977)	(\$977)	(\$977)	(\$977)	(\$1,068)	(\$3,300)	(\$3,908)
Purchases/Sales of Investments	(\$289)	\$57	(\$2,454)	(\$5,793)	(\$5,150)	(\$1,635)	\$0	\$0	\$0	\$0	\$0	\$0	(\$8,479)	(\$6,785)	(\$1,635)
Other	(\$304)	(\$214)	(\$437)	(\$63)	(\$174)	(\$573)							(\$1,018)	(\$747)	(\$573)
Net Cash from Investing	(\$841)	(\$446)	(\$3,169)	(\$6,109)	(\$5,693)	(\$3,185)	(\$977)	(\$977)	(\$977)	(\$977)	(\$977)	(\$977)	(\$10,565)	(\$10,832)	(\$6,116)
Cash Flow from Financing															
Proceeds (retirements) from borrowings	\$0	(\$1,250)	(\$13)	(\$29)	\$0	(\$1,250)							(\$1,292)	(\$1,250)	(\$1,250)
Other	(\$527)	(\$683)	(\$765)	(\$841)	(\$1,507)	(\$1,666)							(\$2,816)	(\$3,173)	(\$1,666)
Dividend	(\$99)	(\$100)	(\$99)	(\$99)	(\$98)	(\$246)	(\$992)	(\$990)	(\$986)	(\$980)	(\$974)	(\$968)	(\$397)	(\$2,326)	(\$3,214)
Proceeds from equity issuance	\$246	(\$3,066)	(\$3,650)	(\$2,660)	(\$7,740)	(\$7,158)	(\$5,000)	(\$5,000)	(\$5,000)	(\$5,000)	(\$5,000)	(\$5,000)	(\$9,130)	(\$24,898)	(\$22,158)
Net Cash from Financing	(\$380)	(\$5,099)	(\$4,527)	(\$3,629)	(\$9,345)	(\$10,320)	(\$5,992)	(\$5,990)	(\$5,986)	(\$5,980)	(\$5,974)	(\$5,968)	(\$13,635)	(\$31,647)	(\$28,288)
Cash/Cash Equivalent at Beginning	\$3,389	\$5,079	\$5,882	\$5,519	\$7,280	\$7,587	\$8,571	\$13,300	\$19,387	\$27,869	\$37,838	\$50,432	\$19,869	\$36,738	\$48,845
Other					\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Net Change in Cash	\$1,690	\$803	(\$363)	\$1,761	\$307	\$984	\$4,729	\$6,087	\$8,482	\$9,969	\$12,594	\$16,046	\$3,891	\$12,107	\$20,282
Cash/Cash Equivalent at End	\$5,079	\$5,882	\$5,519	\$7,280	\$7,587	\$8,571	\$13,300	\$19,387	\$27,869	\$37,838	\$50,432	\$66,479	\$23,760	\$48,845	\$69,127
Cash Flow from Operations	\$2,911	\$6,348	\$7,333	\$11,499	\$15,345	\$14,489	\$11,698	\$13,054	\$15,445	\$16,926	\$19,545	\$22,991	\$28,091	\$54,586	\$54,686
Capex	(\$248)	(\$289)	(\$278)	(\$253)	(\$369)	(\$977)	(\$977)	(\$977)	(\$977)	(\$977)	(\$977)	(\$977)	(\$1,068)	(\$3,300)	(\$3,908)
Free Cash Flow	\$2,663	\$6,059	\$7,055	\$11,246	\$14,976	\$13,512	\$10,721	\$12,077	\$14,468	\$15,949	\$18,568	\$22,014	\$27,023	\$51,286	\$50,778
FCF/Share	\$0.11	\$0.24	\$0.28	\$0.45	\$0.60	\$0.54	\$0.43	\$0.49	\$0.59	\$0.65	\$0.76	\$0.91	\$1.08	\$2.07	\$2.08
FCF Margin	37%	45%	39%	51%	58%	45%	33%	35%	38%	38%	40%	42%	44%	41%	29%
EBITDA	\$3,436	\$8,141	\$11,929	\$15,136	\$18,469	\$20,370	\$21,808	\$22,608	\$24,723	\$26,878	\$30,498	\$34,813	\$38,642	\$83,255	\$116,912

Source: Cantor Fitzgerald

Valuation

Our \$175 price target equates to 35x scenario CY26 EPS.

Risks

Where could we be wrong? The obvious would be a period of digestion for GPU demand from the Data Center, delivering the feared “air pocket.” Deepening embargo in China is another concern. Finally, more meaningful competition for accelerating compute is a potential concern.

Company Description

Nvidia is a dominant supplier of artificial intelligence (AI) hardware and software. Its professional line of GPUs are used in workstations for applications in such fields as architecture, engineering and construction, media and entertainment, automotive, scientific research, and manufacturing design.

Disclosures Appendix

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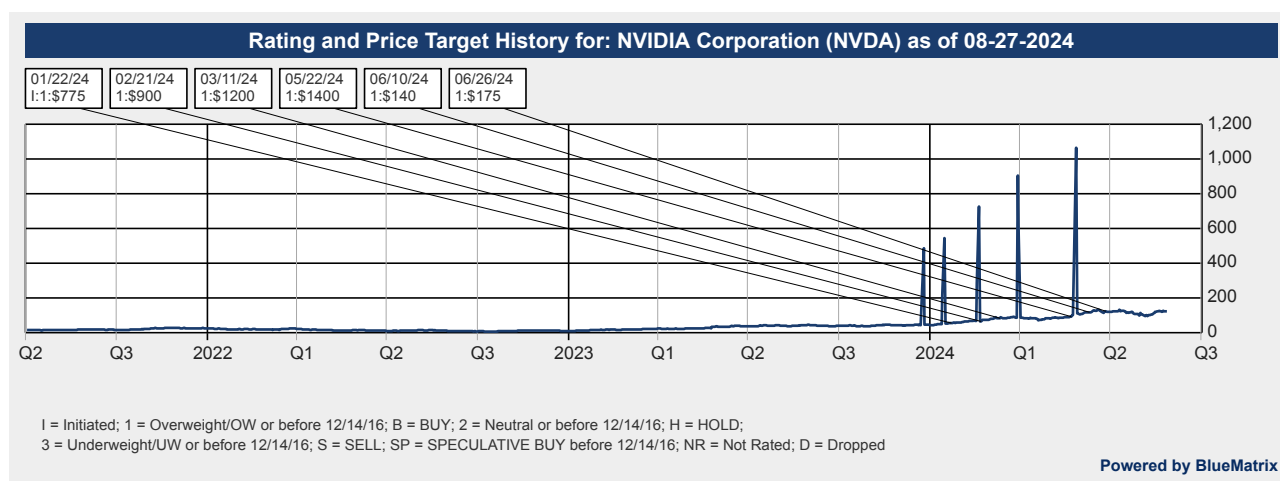
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